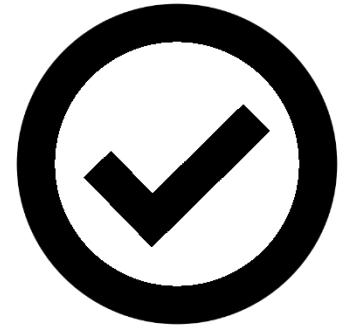




**BUSINESS
PROFESSIONALS**
of **AMERICA**
Giving Purpose to Potential



ADVANCED ACCOUNTING

(110)

STATE 2021

CONCEPT KNOWLEDGE:

Matching (10 @21 points each)	_____ (20 points)
Multiple Choice (20 @ 2 points each)	_____ (40 points)

APPLICATION KNOWLEDGE:

Short Answer	_____ (24 points)
Problem 1: Depreciation	_____ (19 points)
Problem 2: Inventory Costing Methods	_____ (24 points)
Problem 3: Closing Entries	_____ (34 points)
Problem 4: Income Statement	_____ (31 points)
Problem 5: Ratio Analysis	_____ (40 points)

<i>TOTAL POINTS</i>	<i>_____ (232 points)</i>
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Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Matching: 2 points each = 20 points

1. A
2. B
3. B
4. C
5. D
6. F
7. E
8. H
9. G
10. H

Multiple Choice: 2 points each = 40 points

- | | |
|-------|-------|
| 1. C | 11. B |
| 2. C | 12. D |
| 3. D | 13. C |
| 4. B | 14. D |
| 5. C | 15. D |
| 6. A | 16. A |
| 7. D | 17. C |
| 8. C | 18. C |
| 9. B | 19. B |
| 10. C | 20. D |

Short Answer (24 Points)

#1. 16 pts

A. - 4 points, 1 for each account and 1 for each amount; Note – Please allow similar account names as correct as different textbooks show different account names..

DR <u>Cash</u>	<u>\$10,000</u>
CR <u>Notes Payable</u>	<u>\$10,000</u>

B. – 4 points, 1 for each account and 1 for each amount. Note – Please allow similar account names as correct as different textbooks show different account names.

DR <u>Interest Expense</u>	<u>\$233.33</u>
CR <u>Interest Payable</u>	<u>\$233.33</u>

C.- 6 points, 1 for each correct heading, 1 for each account, 1 for each amount. Note – Please allow similar account names as correct.

Current Liabilities	
Interest Payable	\$233.33
Long-Term Liabilities	
Notes Payable	\$10,000

D. – 2 points

Interest Expense	<u>\$700</u>
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#2. 8 points total, 2 points per answer

A.	Chen	<u>\$120,000</u>	Smith	<u>\$60,000</u>
B.	Chen	<u>\$90,000</u>	Smith	<u>\$70,000</u>

Problem 1: Depreciation – 19 Total Points

Note – 2 points for each answer

	<u>2020</u>	<u>2021</u>
Straight-Line	<u>\$16,000</u>	<u>\$32,000</u>
Double-declining Balance	<u>\$50,000</u>	<u>\$80,000</u>
Units of Production	<u>\$13,500</u>	<u>\$30,500</u>

A. **\$234,000** – 2 points

B. Machine -	\$250,000
Less – Accumulated Depreciation	<u>\$44,000</u>
Book Value	\$206,000

Note to Grader – Allow similar accounts and formats. Count 1 point for each of the three amounts, and 1 point for showing Machine and Accumulated Depreciation accounts.

Problem 2: Inventory Costing Methods. 24 Total Points – 3 points each

	<u>LIFO</u>	<u>FIFO</u>
Total Revenue	<u>\$39,690</u>	<u>\$39,690</u>
Cost of Ending Inventory	<u>\$6,975</u>	<u>\$7,412</u>
Cost of Goods Sold	<u>\$15,329</u>	<u>\$14,892</u>
Gross Profit (Margin)	<u>\$24,361</u>	<u>\$24,798</u>

Problem 3: Closing Entries and Impact on Account Balances – 34 Total Points

A. 1 point for each account and 1 point for each amount (16 points)

Sales	797,000	
Income Summary		797,000
Income Summary	708,000	
Sales Returns and Allowances		60,000
Cost of Goods Sold		255,000
Depreciation Expense		110,000
Interest Expense		3,000
Selling Expense		62,000
Wages Expense		218,000
Income Summary	89,000	
Retained Earnings		89,000
Retained Earnings	93,000	
Dividends		93,000

B. 2 points each (8 points)

Retained Earnings	<u>\$98,000</u>
Interest Expense	<u>0</u>
Cash	<u>\$25,000</u>
Common Stock	<u>\$240,000</u>

Problem 4: Income Statement – 31 Total Points – 3 points for header, 1 per line; 1 point each for account heading, 1 point for each amount, except Net Income which is 3 points. Please accept as correct similar account or heading names.

McNew Corporation

Income Statement

For the Year Ended December 31, 2020

Sales	6,300,000	
Less: Sales Returns and Allowances	<u>100,000</u>	
Net Sales		6,200,000
Cost of Goods Sold		<u>1,500,000</u>
Gross Profit (Margin)		4,700,000
Administrative Expenses	950,000	
Selling Expenses	<u>600,000</u>	
Total Expenses		<u>1,550,000</u>
Operating Income		3,150,000
Loss on sale of equipment		<u>100,000</u>
Income Before Taxes		3,050,000
Income Tax Expense		<u>618,000</u>
Net Income		2,432,000

Problem 5: Horizontal, Vertical, and Ratio Analysis – 40 Total Points – 2 points per answer

	<u>Dollar Amount and Direction of Change</u>	<u>Percent of Change</u>
Cash	<u>20,700</u>	<u>68.5%</u>
Account Receivable	<u>-4,400</u>	<u>11%</u>
Notes Payable	<u>-5,000</u>	<u>6.9%</u>
Retained Earnings	<u>31,700</u>	<u>7.0%</u>

Answer the following questions.

A. \$28,300

B. 76.4%

	<u>2020</u>	<u>2019</u>	
Working Capital	<u>101,600</u>	<u>44,400</u>	
Current Ratio	<u>1.9 or 1.94</u>	<u>1.4 or 1.36</u>	Accept either 1 or 2 decimals as correct.
Quick Ratio	<u>.8 or .80</u>	<u>.6 or .57</u>	
Debt to Equity Ratio	<u>.5 or .53</u>	<u>.6 or .59</u>	

For 2020 Only

Return on Assets	<u>6.7% or 6.8%</u>	Accept either as correct
Return on Equity	<u>10.3% or 10.6%</u>	Accept either as correct